

NZ labour market preview, Q1 2026

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We expect the unemployment rate to hold steady at 5.4% for the March quarter. Jobs growth had started to pick up in recent months, but the Iran conflict has since clouded the outlook.



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Steady for now

- We expect the unemployment rate to hold steady at 5.4% for the March quarter.
- Higher-frequency indicators have pointed to a modest lift in jobs in recent months, though not outpacing the growth in the working-age population.
- While we expect to see a small downward correction in the HLFS employment measure, this doesn't alter the general picture.
- Wage growth is likely to have remained subdued, given the existing slack in the labour market.
- Our forecasts are a little softer than what the RBNZ expected in its February statement. However, the fast-moving developments in the Middle East mean that the RBNZ's forward view on the labour market will likely have shifted since then.

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